T-12 OPERATING STATEMENT

Summit Health Center | Detroit, MI

Property	Summit Health Center
Period Ending	May 19, 2026
Basis	Accrual - Trailing 12 Months
Prepared By	Redwood Property Management
Size	216,999 SF

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	647,011	636,452	726,131	633,833	709,488	678,170	701,007	644,997	654,825	711,563	644,165	640,699	8,028,341
4010 Loss to Lease	528,914	495,597	487,639	503,822	549,220	536,727	547,850	520,519	519,465	504,110	515,847	536,968	6,246,677
4020 Vacancy Loss	373,902	355,849	375,508	392,817	404,388	406,171	389,408	364,952	364,812	362,763	369,549	389,277	4,549,396
4030 Concessions	516,228	520,920	542,391	542,823	549,810	488,096	528,816	552,299	483,796	487,874	537,283	490,290	6,240,627
4040 Bad Debt	391,580	401,126	379,673	402,360	360,008	365,502	399,354	376,032	412,365	382,349	361,042	384,191	4,615,581
4050 Late Fees	159,014	171,441	163,334	151,690	151,020	151,568	153,178	154,467	172,806	163,918	162,412	160,726	1,915,575
4060 Utility Reimbursements	331,901	355,843	352,590	356,789	362,279	341,266	338,392	332,338	365,389	339,001	350,942	376,214	4,202,943
4070 Parking Income	144,327	156,909	142,561	142,125	150,717	156,071	144,809	161,990	150,449	151,521	153,654	148,914	1,804,047
4080 Application Fees	604,753	597,501	615,713	616,840	566,783	560,889	547,092	587,488	587,625	562,877	585,449	579,668	7,012,680
4090 Pet Rent	271,178	265,197	282,366	295,407	298,738	263,850	287,391	290,987	286,701	266,952	296,997	268,519	3,374,281
4100 Laundry Income	494,553	476,164	506,661	487,546	499,786	470,690	468,336	517,325	493,069	514,374	497,816	486,867	5,913,188
4110 Cable/Internet Revenue	135,520	131,171	128,199	125,973	128,560	134,374	130,480	141,370	143,950	135,770	127,683	125,833	1,588,884
4120 CAM Reimbursements	612,222	605,586	579,654	621,219	551,304	580,010	611,051	580,287	613,185	611,318	570,173	573,730	7,109,739
4130 Tax Reimbursements	43,668	41,498	40,743	40,822	40,233	40,930	39,510	42,416	42,267	44,766	42,969	41,992	501,815
4140 Insurance Reimbursements	558,653	544,064	519,806	552,428	534,112	517,727	542,845	558,628	552,313	514,893	529,134	508,949	6,433,551
4150 Percentage Rent	47,649	47,530	43,718	45,479	48,939	46,018	43,556	43,487	44,338	45,845	44,061	45,819	546,438
4160 Misc. Income	596,724	565,261	612,261	595,749	601,024	580,050	604,581	617,096	617,535	628,961	604,898	566,896	7,191,036
4170 Payroll - Management	49,396	53,841	50,431	49,190	52,379	50,056	51,101	48,899	51,713	51,153	52,919	53,330	614,409
4180 Payroll - Leasing	30,673	27,607	29,062	30,629	30,212	29,144	29,232	29,838	27,481	27,471	28,198	30,948	350,494
4190 Payroll - Maintenance	75,949	73,362	73,747	76,204	72,212	73,702	76,007	70,788	79,005	77,978	72,573	73,242	894,770
4200 Payroll Taxes & Benefits	57,608	55,834	56,215	56,732	55,313	63,220	61,014	60,741	55,963	56,423	60,097	55,558	694,720
4210 Repairs - Plumbing	19,511	21,134	21,709	19,454	20,266	21,248	20,023	19,092	20,869	19,801	20,076	20,374	243,557
4220 Repairs - HVAC	52,330	47,018	46,970	48,277	49,361	47,853	51,655	50,060	49,161	53,378	51,964	47,754	595,780
4230 Repairs - Electrical	35,949	37,149	36,326	36,749	38,362	35,233	37,458	34,436	35,159	36,257	36,532	36,676	436,286
4240 Repairs - Appliances	67,848	71,585	77,115	76,266	77,610	77,535	72,015	71,049	67,854	74,008	70,759	71,396	875,040
4250 Painting & Decorating	55,641	50,010	50,337	56,785	51,539	55,008	51,806	52,105	52,844	56,652	52,460	51,357	636,543
4260 Flooring	41,792	39,576	42,425	39,883	38,535	40,356	41,285	38,225	39,383	39,173	39,967	39,524	480,124

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4470 Property Insurance	45,398	44,719	48,530	44,133	45,158	45,083	44,263	48,410	45,004	47,198	49,709	46,604	554,209
4480 Real Estate Taxes	10,331	9,989	9,814	10,062	10,542	10,042	9,971	9,910	9,884	10,179	10,523	11,142	122,389
4490 Asset Management Fee	20,189	21,678	20,632	21,638	21,726	20,871	20,204	19,498	20,589	20,676	22,203	20,464	250,367
4500 Replacement Reserves	55,741	53,987	56,435	56,708	52,294	52,970	53,894	53,079	55,368	54,819	56,752	57,445	659,492
4510 Roof Repairs	67,166	66,974	71,520	73,991	73,269	74,803	74,465	69,591	69,549	68,712	73,500	74,829	858,369
4520 Parking Lot Repairs	70,364	70,949	72,201	77,567	74,237	75,804	76,821	69,674	75,096	71,976	70,657	70,052	875,398
4530 Signage	66,443	67,289	68,240	64,464	63,305	63,976	69,645	61,955	61,300	68,046	62,006	64,965	781,634
4540 Tenant Improvements	32,640	35,269	34,119	36,137	33,777	33,493	31,822	32,838	35,465	31,550	34,918	34,535	406,561
4550 Leasing Commissions	36,617	32,431	34,972	34,740	35,540	36,173	32,227	32,194	34,987	33,575	34,618	35,259	413,332
4000 Gross Potential Rent	711,602	676,078	715,848	665,725	635,643	656,101	657,741	674,654	705,734	670,884	657,876	644,851	8,072,736
4010 Loss to Lease	296,043	325,105	300,902	328,800	291,065	300,420	294,296	325,290	317,679	313,851	304,549	308,177	3,706,176
4020 Vacancy Loss	574,877	519,023	584,761	577,123	547,000	591,583	531,562	540,797	520,865	567,571	571,377	585,744	6,712,282
4030 Concessions	272,428	289,437	267,925	259,712	292,045	294,942	271,457	287,105	263,528	291,115	270,921	282,347	3,342,960
4040 Bad Debt	546,506	600,686	554,857	620,668	552,080	587,842	611,571	611,359	594,511	601,667	550,448	618,108	7,050,304
4050 Late Fees	456,234	443,655	469,991	455,121	432,229	459,486	433,763	417,725	464,526	435,734	454,334	457,130	5,379,928
4060 Utility Reimbursements	514,153	559,936	492,839	536,896	547,782	514,865	502,005	511,935	493,959	504,587	520,999	509,652	6,209,606
4070 Parking Income	484,404	425,463	433,429	432,121	476,146	473,155	437,326	461,568	481,385	462,375	435,136	446,879	5,449,385
4080 Application Fees	370,101	357,800	369,621	361,509	326,049	354,789	374,401	369,198	355,696	361,030	340,388	342,664	4,283,247
4090 Pet Rent	20,962	21,688	22,275	21,791	22,127	22,360	22,065	22,044	21,221	20,489	21,565	21,102	259,687
4100 Laundry Income	148,770	140,459	138,329	148,623	148,469	142,164	135,564	138,330	149,171	136,860	147,941	136,943	1,711,623
4110 Cable/Internet Revenue	209,633	209,502	191,880	206,108	212,939	203,925	199,814	190,985	200,912	195,395	191,948	190,364	2,403,405
4120 CAM Reimbursements	173,678	189,786	166,165	176,534	186,557	178,957	167,319	173,281	182,312	179,410	168,187	174,538	2,116,724
4130 Tax Reimbursements	566,050	565,877	555,149	518,988	519,751	565,174	535,092	552,962	527,351	567,235	506,179	562,424	6,542,230
4140 Insurance Reimbursements	63,600	61,487	66,704	65,611	63,959	61,155	59,433	65,734	65,839	58,217	60,956	64,270	756,963
4150 Percentage Rent	360,909	322,824	328,439	320,822	342,157	357,733	334,933	321,702	326,742	357,125	333,255	343,156	4,049,795
4160 Misc. Income	433,501	411,220	447,409	440,363	433,291	457,657	432,054	455,036	455,909	429,097	470,411	428,530	5,294,476
4170 Payroll - Management	75,939	81,117	81,699	83,352	78,985	81,841	79,559	75,011	79,773	83,417	82,606	78,428	961,727
4180 Payroll - Leasing	8,179	8,523	8,659	8,716	7,834	8,170	8,305	8,791	7,748	8,425	8,047	8,448	99,844
4190 Payroll - Maintenance	23,943	23,403	25,972	22,946	25,584	24,896	24,117	23,859	24,241	23,375	24,981	23,633	290,950
4200 Payroll Taxes & Benefits	77,399	77,620	79,038	73,512	77,825	81,852	82,563	77,284	80,847	74,619	79,469	82,343	944,370
4210 Repairs - Plumbing	17,708	16,134	16,847	17,520	17,937	16,287	16,858	17,514	17,834	16,745	16,236	18,180	205,800
4220 Repairs - HVAC	10,116	10,254	9,933	10,231	9,591	10,078	10,488	10,100	10,525	10,638	9,638	9,624	121,215
4230 Repairs - Electrical	6,756	7,029	7,087	7,257	7,158	6,916	6,871	7,309	7,199	6,994	7,068	6,936	84,580
4240 Repairs - Appliances	29,955	29,376	29,439	28,538	30,421	27,623	27,456	29,577	27,341	29,697	28,424	29,345	347,193
4250 Painting & Decorating	15,249	14,522	14,827	15,214	14,694	15,975	14,840	16,166	14,855	15,068	15,664	15,821	182,894
4260 Flooring	13,720	13,870	14,694	14,882	14,781	15,146	14,955	14,267	14,098	13,828	13,495	14,109	171,844
4270 Make-Ready / Turnover	12,924	13,457	12,492	12,027	12,953	12,122	13,502	13,491	13,306	12,921	12,098	13,320	154,614
4280 Landscaping Contract	63,536	68,001	65,978	67,960	62,266	60,130	63,655	65,225	64,508	68,163	66,467	63,576	779,466
4290 Snow Removal	48,577	45,536	48,169	44,460	46,966	48,507	44,139	46,641	47,257	44,571	47,190	45,482	557,495
4300 Janitorial	42,486	41,711	46,334	46,035	43,892	43,036	43,308	43,601	45,792	46,116	43,379	41,501	527,190
4310 Pest Control	36,022	34,145	38,074	33,654	38,022	35,673	33,826	33,788	37,186	36,405	36,360	35,783	428,939
4320 Trash Removal	39,055	38,627	39,633	38,817	42,628	42,648	37,575	40,082	39,212	43,088	42,885	37,737	481,987
4330 Elevator Contract	47,993	51,198	48,540	48,188	47,861	47,406	52,480	52,904	49,142	49,574	51,749	46,689	593,724
4340 Fire & Life Safety	31,158	31,452	30,886	28,831	28,823	30,636	30,648	29,715	28,311	32,276	29,178	28,624	360,539
4350 Security	49,104	48,586	51,645	49,466	48,145	55,022	54,412	50,958	54,052	52,527	50,095	53,568	617,580
4360 Electricity - Common	27,425	25,267	27,864	26,710	28,008	27,562	24,767	24,690	26,160	25,164	25,146	26,595	315,358
4370 Gas - Common	35,697	39,533	36,218	36,451	39,618	37,999	39,148	38,273	38,318	35,769	36,837	36,919	450,781

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Financial Analysis

Effective gross income for the trailing period was $207,000, representing a 12.8% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 8.09% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.04x on a trailing basis against a covenant minimum of 1.20x.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. Patient parking and ADA-compliant access are provided at a ratio of 11 spaces per 1,000 square feet. Management fees are calculated at 7.5% of collected revenue and are included in operating expenses.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 33 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 5 hours. Patient parking and ADA-compliant access are provided at a ratio of 22 spaces per 1,000 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 29th business day. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members. Patient parking and ADA-compliant access are provided at a ratio of 34 spaces per 1,000 square feet. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Financial Analysis

Effective gross income for the trailing period was $110,000, representing a 4.0% increase over the prior year. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 31 spaces per 1,000 square feet.

The going-in capitalization rate of 5.38% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 31 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Service requests are tracked through a work-order system with an average completion time of 30 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 31th business day. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Service requests are tracked through a work-order system with an average completion time of 20 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 30 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 3th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Financial Analysis

Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Management fees are calculated at 5.7% of collected revenue and are included in operating expenses. Patient parking and ADA-compliant access are provided at a ratio of 44 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4360 Electricity - Common	28,627	27,009	29,040	28,669	26,619	28,047	27,535	26,110	27,511	27,091	27,810	25,862	329,930
4370 Gas - Common	69,717	65,278	65,695	67,736	62,851	66,978	68,931	66,817	63,776	66,724	68,017	68,935	801,454
4380 Water & Sewer	15,049	14,023	14,660	13,543	14,979	13,813	14,101	15,085	14,310	14,136	13,915	13,987	171,599
4390 Telephone/Internet	21,924	22,291	20,867	22,348	20,976	22,145	19,932	21,020	22,107	19,695	21,329	22,344	256,979
4400 Advertising	77,177	84,361	82,995	75,233	79,857	77,061	76,600	86,058	86,172	86,200	76,591	81,092	969,396
4410 Resident Events	40,340	36,412	40,114	37,284	39,395	36,501	40,788	38,729	39,935	36,033	35,558	40,534	461,623
4420 Office Supplies	41,189	39,196	39,446	41,377	39,952	37,426	42,657	40,439	38,810	41,119	38,020	41,315	480,945
4430 Legal & Professional	81,862	77,058	73,446	74,817	82,493	77,569	73,469	78,437	78,178	79,578	76,249	81,465	934,620
4440 Accounting & Audit	39,896	44,679	43,839	45,455	41,085	40,374	43,465	45,484	42,429	40,190	43,582	43,708	514,185
4450 Licenses & Permits	28,322	26,672	27,794	26,704	25,657	26,031	25,956	27,806	25,451	27,687	25,905	25,226	319,211
4460 Management Fee	86,762	87,005	76,636	85,537	76,412	83,699	83,169	86,547	78,261	78,169	82,735	79,430	984,362
4470 Property Insurance	39,390	36,077	37,031	39,531	39,646	38,703	37,466	36,086	36,976	39,745	38,861	36,427	455,938
4480 Real Estate Taxes	54,151	55,193	60,494	53,727	56,496	54,430	54,044	55,814	60,194	60,702	59,814	56,979	682,039
4490 Asset Management Fee	27,609	29,530	26,422	29,515	28,697	26,472	27,492	28,566	26,381	26,668	26,663	29,588	333,601
4500 Replacement Reserves	57,816	58,704	56,692	54,827	59,316	59,955	58,587	55,288	58,383	60,657	56,860	57,393	694,477
4510 Roof Repairs	10,036	10,438	9,730	9,951	10,808	10,311	9,900	9,722	9,661	10,276	10,663	10,349	121,845
4520 Parking Lot Repairs	43,291	44,895	40,397	41,345	41,539	44,160	43,390	40,116	43,355	40,116	42,709	45,466	510,780
4530 Signage	40,388	41,698	40,358	39,353	40,358	42,851	42,441	39,357	40,678	40,212	38,498	39,627	485,818
4540 Tenant Improvements	11,481	11,861	11,666	12,510	11,565	11,520	11,913	11,643	12,344	12,610	12,604	13,089	144,804
4550 Leasing Commissions	7,386	7,655	7,165	7,543	7,681	7,659	6,862	7,284	7,102	7,389	7,009	7,551	88,287
4000 Gross Potential Rent	703,390	701,154	724,387	646,854	668,971	652,611	656,373	651,627	677,150	720,621	682,942	726,215	8,212,294
4010 Loss to Lease	190,728	180,542	185,148	187,940	189,125	166,018	177,444	187,675	184,814	188,122	186,984	178,862	2,203,403
4020 Vacancy Loss	575,007	513,979	517,183	512,064	522,136	556,774	526,114	555,605	560,314	555,364	512,199	571,788	6,478,525
4030 Concessions	146,890	156,235	152,849	151,078	146,646	157,731	157,789	155,608	148,558	149,593	143,479	158,606	1,825,062
4040 Bad Debt	8,128	7,657	7,754	8,288	8,065	7,789	7,633	7,868	8,136	8,264	8,458	8,160	96,199
4050 Late Fees	316,648	320,713	326,355	287,459	324,340	303,601	306,880	328,384	310,063	293,980	286,610	319,508	3,724,542
4060 Utility Reimbursements	202,568	230,173	203,904	229,136	214,532	209,713	219,091	216,881	231,217	216,161	203,224	212,123	2,588,724
4070 Parking Income	474,458	521,904	460,811	460,414	519,558	490,650	467,185	503,640	522,055	484,522	484,795	519,560	5,909,551
4080 Application Fees	561,571	593,558	600,326	614,097	620,235	599,781	643,498	588,591	566,091	642,167	621,054	563,444	7,214,413
4090 Pet Rent	508,936	492,543	483,248	508,273	468,430	483,116	481,824	508,992	478,690	475,449	465,198	517,622	5,872,321
4100 Laundry Income	427,767	427,861	400,486	427,546	416,003	424,471	452,181	403,627	452,648	435,299	448,018	436,894	5,152,802
4110 Cable/Internet Revenue	167,830	178,079	168,723	170,585	175,181	183,742	185,162	172,009	185,994	172,652	177,834	173,439	2,111,230
4120 CAM Reimbursements	26,230	29,534	26,647	27,690	27,441	25,906	26,536	27,440	26,457	29,611	26,146	27,109	326,745
4130 Tax Reimbursements	613,036	588,949	613,466	638,160	621,859	627,976	580,608	578,660	604,071	606,732	631,403	637,676	7,342,596
4140 Insurance Reimbursements	334,236	312,655	322,635	313,867	331,463	301,861	313,954	301,728	320,938	327,992	303,928	309,654	3,794,910
4150 Percentage Rent	552,167	588,148	547,657	533,675	534,220	582,817	534,667	515,235	578,840	557,249	555,761	587,704	6,668,140
4160 Misc. Income	620,991	583,587	572,675	566,242	551,952	593,264	566,275	599,069	569,219	626,346	627,212	548,173	7,025,005
4170 Payroll - Management	19,635	17,836	20,010	18,382	20,139	19,432	18,937	18,285	19,859	19,323	19,839	17,824	229,502
4180 Payroll - Leasing	18,980	19,233	18,599	17,925	19,271	19,292	18,401	17,819	17,998	19,349	18,919	18,693	224,480
4190 Payroll - Maintenance	28,701	26,354	26,094	27,395	25,960	28,542	28,536	27,551	28,211	28,980	25,546	27,171	329,041
4200 Payroll Taxes & Benefits	54,560	53,887	51,711	55,582	53,802	54,171	59,011	59,333	56,695	52,488	55,199	53,221	659,659
4210 Repairs - Plumbing	13,640	14,127	13,138	13,872	13,147	13,919	13,433	13,323	12,846	13,373	13,919	13,705	162,441
4220 Repairs - HVAC	27,283	27,192	28,291	27,751	24,687	26,553	28,121	27,274	26,180	27,210	25,411	27,993	323,946
4230 Repairs - Electrical	61,598	59,745	55,897	56,920	62,485	56,006	55,654	55,200	59,896	56,024	57,434	63,202	700,060
4240 Repairs - Appliances	54,292	56,768	58,054	55,027	54,486	57,323	57,131	60,296	55,095	61,693	59,139	59,225	688,530
4250 Painting & Decorating	18,218	18,682	18,123	17,924	17,440	19,375	17,441	18,467	19,093	18,312	18,123	19,272	220,471

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Valuation Discussion

Operating expenses totaled $25,000 or approximately 29.15 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.24% reflects the in-place income and the stabilized occupancy assumption. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The going-in capitalization rate of 5.23% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 8.16x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members. Patient parking and ADA-compliant access are provided at a ratio of 28 spaces per 1,000 square feet. Service requests are tracked through a work-order system with an average completion time of 37 hours.

Service requests are tracked through a work-order system with an average completion time of 42 hours. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 32 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day.

Valuation Discussion

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Debt service coverage ratio was 8.15x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.81% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $397,000, representing a 11.7% increase over the prior year. Operating expenses totaled $91,000 or approximately 26.06 per square foot, with real estate taxes representing the largest line item. Patient parking and ADA-compliant access are provided at a ratio of 29 spaces per 1,000 square feet.

Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Patient parking and ADA-compliant access are provided at a ratio of 8 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Management Commentary

Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Patient parking and ADA-compliant access are provided at a ratio of 6 spaces per 1,000 square feet.

Collections for the period were 93.6% of billed charges, with bad debt of 3.3% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 28 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 32 additional team members. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Income and Expense Review

Patient parking and ADA-compliant access are provided at a ratio of 26 spaces per 1,000 square feet. Operating expenses totaled $121,000 or approximately 12.52 per square foot, with real estate taxes representing the largest line item. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Management fees are calculated at 4.1% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $290,000, representing a 2.6% increase over the prior year.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4200 Payroll Taxes & Benefits	29,574	33,114	30,915	32,064	29,151	29,986	30,650	30,657	32,908	31,711	29,864	30,690	371,284
4210 Repairs - Plumbing	28,526	28,003	29,008	25,642	28,493	27,692	27,060	27,975	26,816	27,576	26,994	27,722	331,506
4220 Repairs - HVAC	31,725	27,947	29,860	32,028	28,992	31,043	30,183	31,978	28,195	28,569	31,678	28,543	360,740
4230 Repairs - Electrical	7,302	7,867	7,906	8,095	7,236	7,129	7,508	7,953	7,609	7,755	7,949	7,393	91,703
4240 Repairs - Appliances	79,673	78,208	73,754	72,248	72,441	77,811	75,959	75,728	80,052	76,273	78,829	71,112	912,087
4250 Painting & Decorating	18,297	17,360	19,208	18,474	18,160	18,579	19,249	16,985	17,698	17,210	18,657	17,484	217,361
4260 Flooring	9,307	8,954	8,192	8,616	8,831	8,686	8,888	9,052	8,448	8,159	8,839	9,141	105,113
4270 Make-Ready / Turnover	28,979	29,875	29,215	30,158	28,371	29,330	30,366	29,690	28,999	30,543	29,857	29,160	354,543
4280 Landscaping Contract	17,900	16,679	16,683	18,217	17,807	17,103	16,579	16,697	16,916	17,258	17,026	16,351	205,215
4290 Snow Removal	48,674	52,379	48,207	47,798	49,298	52,608	46,998	53,032	49,391	49,509	52,602	46,598	597,094
4300 Janitorial	51,022	53,555	50,254	48,393	53,306	48,554	50,094	51,780	48,347	53,601	51,526	53,301	613,732
4310 Pest Control	27,442	26,190	25,929	25,551	28,125	27,579	28,323	26,631	26,193	27,447	25,513	28,933	323,855
4320 Trash Removal	70,284	62,765	69,447	63,730	68,208	69,316	69,058	69,713	65,494	70,308	71,228	70,593	820,143
4330 Elevator Contract	30,242	27,261	30,073	28,523	29,455	27,344	26,969	28,223	27,023	29,530	28,199	27,327	340,169
4340 Fire & Life Safety	58,125	54,838	59,495	54,782	53,180	58,621	55,227	59,941	60,033	55,411	55,916	53,532	679,099
4350 Security	29,704	29,348	29,048	27,584	28,996	30,433	27,818	31,111	28,981	29,789	28,221	27,715	348,749
4360 Electricity - Common	57,282	60,312	60,713	58,391	61,480	60,960	59,958	61,968	59,332	55,201	59,012	56,053	710,663
4370 Gas - Common	72,191	67,452	69,499	66,294	65,978	69,263	73,565	68,196	69,323	72,674	68,090	73,389	835,913
4380 Water & Sewer	73,612	77,982	75,007	82,369	80,773	79,870	80,849	80,940	75,345	80,675	75,732	75,287	938,441
4390 Telephone/Internet	70,629	70,458	71,454	71,430	68,694	68,971	70,524	71,969	74,183	72,034	75,540	68,259	854,146
4400 Advertising	74,265	71,947	72,358	66,661	70,680	69,095	74,556	70,886	66,090	75,262	71,123	74,910	857,832
4410 Resident Events	58,305	53,031	53,093	58,961	55,395	57,236	54,020	59,009	54,424	55,629	56,204	53,095	668,401
4420 Office Supplies	68,060	72,589	72,347	68,813	68,596	64,625	69,782	71,554	72,935	66,478	71,029	67,951	834,760
4430 Legal & Professional	9,080	9,959	9,860	9,861	9,409	9,397	9,122	9,377	9,300	9,995	9,174	10,035	114,569
4440 Accounting & Audit	69,479	70,119	70,214	66,376	70,193	69,944	64,633	61,819	65,759	61,554	64,697	63,661	798,448
4450 Licenses & Permits	55,173	59,557	57,865	59,716	56,662	54,578	60,521	55,051	59,040	58,640	57,760	54,993	689,558
4460 Management Fee	34,952	32,435	35,631	33,774	34,679	36,419	33,705	34,250	35,359	34,832	32,741	34,223	413,000
4470 Property Insurance	69,095	72,568	71,597	67,857	73,317	67,490	64,326	68,980	69,900	65,029	72,333	72,121	834,614
4480 Real Estate Taxes	77,743	73,614	78,558	73,942	75,696	72,429	74,112	72,307	68,998	71,428	71,140	72,138	882,105
4490 Asset Management Fee	50,842	50,888	47,381	48,000	47,657	48,101	51,772	49,905	51,132	50,089	50,574	51,170	597,510
4500 Replacement Reserves	70,105	78,057	71,869	79,885	80,243	77,527	72,137	70,452	71,198	76,470	71,121	75,776	894,840
4510 Roof Repairs	58,130	61,156	65,263	63,363	58,508	63,837	65,887	59,447	63,059	65,432	63,260	63,810	751,153
4520 Parking Lot Repairs	43,920	40,096	43,169	39,592	39,125	43,954	41,598	40,119	39,687	40,226	41,005	38,838	491,329
4530 Signage	35,697	35,827	33,628	35,858	35,245	35,811	36,189	37,124	32,573	34,821	36,178	32,866	421,816
4540 Tenant Improvements	44,947	44,397	41,108	46,199	41,362	42,520	42,280	45,169	42,473	43,903	43,364	44,640	522,360
4550 Leasing Commissions	7,755	8,855	8,185	8,606	8,126	8,516	8,799	8,788	8,722	8,199	8,389	8,044	100,985
4000 Gross Potential Rent	713,619	638,684	674,496	692,820	651,663	697,310	674,007	713,696	687,435	668,321	709,266	667,115	8,188,433
4010 Loss to Lease	483,252	514,712	541,742	506,411	512,316	523,426	475,649	514,957	488,028	478,136	505,716	512,105	6,056,450
4020 Vacancy Loss	298,426	278,140	306,491	280,098	293,991	283,486	316,834	302,512	317,893	316,168	289,203	305,865	3,589,109
4030 Concessions	56,874	57,945	58,581	62,125	54,560	59,842	61,212	62,395	61,221	62,183	62,632	58,308	717,877
4040 Bad Debt	489,296	490,106	459,061	460,784	492,846	488,231	478,296	457,347	444,060	447,620	463,286	504,596	5,675,529
4050 Late Fees	73,189	80,709	77,600	78,040	74,685	78,950	81,049	81,914	79,661	77,941	73,201	80,675	937,614
4060 Utility Reimbursements	466,949	461,284	420,524	407,767	413,404	423,132	435,697	455,082	447,823	415,144	414,672	463,683	5,225,162
4070 Parking Income	14,559	13,768	14,764	13,530	14,077	13,315	13,461	14,624	14,707	13,514	13,428	14,389	168,135

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Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $192,000 or approximately 10.99 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Debt service coverage ratio was 7.61x on a trailing basis against a covenant minimum of 1.20x.

Effective gross income for the trailing period was $87,000, representing a 5.7% increase over the prior year. Operating expenses totaled $97,000 or approximately 6.74 per square foot, with real estate taxes representing the largest line item. Patient parking and ADA-compliant access are provided at a ratio of 18 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Property Operations

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Collections for the period were 96.9% of billed charges, with bad debt of 5.6% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 5 additional team members.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. Collections for the period were 89.2% of billed charges, with bad debt of 6.9% of gross potential income. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 16 spaces per 1,000 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 23 additional team members.

Valuation Discussion

The going-in capitalization rate of 6.03% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $435,000 or approximately 23.40 per square foot, with real estate taxes representing the largest line item. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Effective gross income for the trailing period was $50,000, representing a 10.0% increase over the prior year. Debt service coverage ratio was 7.92x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 8.02% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $392,000 or approximately 18.88 per square foot, with real estate taxes representing the largest line item. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Leasing and Marketing

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Collections for the period were 93.0% of billed charges, with bad debt of 7.5% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Service requests are tracked through a work-order system with an average completion time of 5 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Operating Performance

Debt service coverage ratio was 5.97x on a trailing basis against a covenant minimum of 1.20x. Patient parking and ADA-compliant access are provided at a ratio of 4 spaces per 1,000 square feet. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The going-in capitalization rate of 7.25% reflects the in-place income and the stabilized occupancy assumption.

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